The unincorporated enterprises are owned by households in which the owner(s) or members of the same household may contribute unpaid labour inputs of a similar kind to those that could be provided by paid employees. The households do not charge separately for the labour contributed by them for their own enterprises. They take the entire surplus. The surplus is described as mixed income because it implicitly contains an element of remuneration for work done by the owner, or other members of the household, that cannot be separately identified from the return to the owner as entrepreneur. In many cases the element of remuneration may dominate the value of mixed income.

In practice, all unincorporated enterprises owned by households that are not quasi-corporations are deemed to have mixed income, except owner-occupiers in their capacity as producers of housing services for own final consumption, households leasing dwellings and households employing paid domestic staff. For owner-occupiers and those leasing dwellings, all value added is operating surplus. For domestic staff all value added is compensation of employees (unless any taxes or subsidies on production are payable or receivable on the output).

Consumption of Fixed Capital

It is the decline in the current value of the stock of fixed assets owned and used by a producer as a result of physical deterioration, normal obsolescence or normal accidental damage.

The term depreciation is often used in place of consumption of fixed capital but it is avoided in the SNA because in commercial accounting the term depreciation is often used in the context of writing off of historic costs whereas in the SNA, consumption of fixed capital is dependent on the current value of the asset.

Writing off of historic cost denotes that irrespective of the amount of physical deterioration, normal obsolescence or normal accidental damage, reduction is made on a certain percentage of the value of the